

Amendment No. 2 to SB2040

Watson
Signature of Sponsor

AMEND Senate Bill No. 2040*

House Bill No. 1959

by deleting all language after the caption and substituting:

WHEREAS, the General Assembly finds that protecting the health and welfare of Tennesseans requires access to affordable and safely dispensed prescription medications through a fair and transparent pharmacy system; and

WHEREAS, increasing consolidation of health insurers and pharmacy benefits managers (PBMs) with pharmacies has created conflicts of interest that can restrict patient choice, increase costs, and jeopardize continuity of care; and

WHEREAS, the General Assembly recognizes the importance of promoting patient choice, preserving pharmacy access, particularly in rural and medically underserved areas, and protecting public health by preventing conflicts of interest that result in inflated costs, reduced transparency, and steering of patients to PBM-owned entities; and

WHEREAS, the General Assembly further recognizes that pharmacists play a vital role in medication safety, counseling, and chronic-disease management, and that these public health functions must be preserved through competitive and independent pharmacy access; and

WHEREAS, eliminating the conflict of interest inherent when a pharmacy benefits manager both sets and receives reimbursement, commonly described as the "fox guarding the henhouse," is necessary to ensure transparent pricing, maintain trust in the pharmacy system, and promote better health outcomes for Tennessee patients; and

WHEREAS, it is the intent of this act that it not be construed to prohibit any duly licensed, unaffiliated pharmacy from providing mail-order, specialty, or delivery-based services under new, unaffiliated ownership; and

WHEREAS, this act is intended to strengthen the integrity of Tennessee's healthcare delivery system by separating financial control from patient care decisions, improving affordability, and protecting rural and community pharmacy access; now, therefore,
BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Freedom, Access, and Integrity in Registered Pharmacy (FAIR Rx) Act."

SECTION 2. Tennessee Code Annotated, Title 63, Chapter 10, Part 3, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Affiliate" means a person or entity that directly or indirectly controls, is controlled by, or is under common ownership or control with another entity;

(2) "Board" means the board of pharmacy;

(3) "Control" means the power, directly or indirectly, to direct, manage, or influence the operations or policies of a pharmacy, whether through ownership, contract, shared governance, overlapping management, audit authority, exclusive provider agreement, formulary management clause, or other arrangement conferring material influence over the professional practice of pharmacy, including dispensing decisions, patient steering, clinical operations, or the independent judgment of a licensed pharmacist;

(4) "Health insurance issuer" has the same meaning as defined in § 56-7-2802;

(5) "Pharmacy" has the same meaning as defined in § 63-10-204; and

(6) "Pharmacy benefits manager" has the same meaning as defined in § 56-7-3102.

(b) On and after January 1, 2028, a person or entity shall not:

(1) Directly or indirectly own, operate, control, or direct the operation of, the whole or any part of a pharmacy; and

(2) Directly or indirectly own, operate, control, or direct the operation of, the whole or any part of:

(A) A health insurance issuer; and

(B) A pharmacy benefits manager.

(c) Subsection (b) applies when the percentage of ownership interest held by a person, entity, or affiliate is greater than five percent (5%).

(d)

(1) For purposes of subsection (b), a hospital or health-system pharmacy is not a pharmacy benefits manager.

(2) This section does not limit the ability of independently owned or unaffiliated pharmacies to provide mail-order, specialty, or delivery services directly to patients of such pharmacies.

(3) This section does not apply to an FDA-designated orphan drug with limited distribution, or to a drug that is subject to an FDA-required risk evaluation and mitigation strategy (REMS) that includes limited distribution.

(e) A pharmacy that is affiliated with both a pharmacy benefits manager and a health insurance issuer in violation of subsection (b) may continue operations through December 31, 2028, if the pharmacy demonstrates to the board that it is actively pursuing a bona fide sale to an unaffiliated entity. For purposes of this subsection (e), "bona fide sale" means an arm's-length transfer evidenced by a written letter of intent or purchase agreement filed with the board. The board may grant a single extension, not to exceed six (6) months, upon proof of substantial progress toward completion of such sale.

(f)

(1) The attorney general and reporter is authorized to enforce this section.

(2) The board shall refer information of potential violations of this section to the attorney general and reporter.

(3) A violation of this section is subject to a civil penalty of up to ten thousand dollars (\$10,000) per violation. Each day a violation continues constitutes a separate violation.

(g) A pharmacy, health insurance issuer, or pharmacy benefits manager aggrieved by a determination under this section may request a hearing under the Uniform Administrative Procedures Act, compiled in title 4, chapter 5. Any hearing must occur within sixty (60) days of filing the request for hearing, and be concluded within thirty (30) days after the date of the hearing. A stay shall not issue unless the appellant shows substantial likelihood of success and irreparable harm.

(h) An action to contest the enforcement or validity of this section must be filed exclusively in the chancery court for Sumner County.

(i) This section does not prohibit an employer from owning and operating a pharmacy or administering pharmacy benefits solely for its own employees under an employee benefit plan.

(j) This section does not apply to pharmacy services provided pursuant to a contract with the United States government for the administration of a federal healthcare program by the department of defense, department of veterans affairs, Indian health service, or office of personnel management.

SECTION 3. The board of pharmacy is authorized to promulgate rules to effectuate this act. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

SECTION 4. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that

can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 5. This act takes effect upon becoming a law, the public welfare requiring it.